

Lending Policy

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1. Purpose and Scope

This policy defines the loan products the Bank offers to consumer borrowers, including permitted loan amounts, terms, and purposes.

2. Product Catalog

Product	Loan Amount	Term	Secured?
Personal Installment Loan	\$1,000 - \$40,000	24-60 months	No
Auto Loan	\$5,000 - \$75,000	24-72 months	Yes (vehicle)
Home Equity Line of Credit	\$10,000 - \$250,000	Revolving, 10-year draw	Yes (real property)
Small Business Term Loan	\$5,000 - \$500,000	12-84 months	Varies

3. Interest Rate Bands by Risk Grade

Interest rates are assigned based on the applicant's Risk Grade as determined under POL-RK-001. The rate bands below apply to the Personal Installment Loan product; other products carry their own bands published separately by the Pricing Committee.

Risk Grade	APR Range
A	6.5% - 8.9%
B	9.0% - 11.9%
C	12.0% - 15.9%
D	16.0% - 19.9%
E	20.0% - 24.9%
F	25.0% - 29.9%
G	30.0% - 35.9% (manual approval only, see POL-AP-001)

4. Permitted Loan Purposes

Personal Installment Loans may be used for debt consolidation, home improvement, medical expenses, major purchases, and other general consumer purposes. The following purposes are prohibited under this policy:

- Investment in securities or cryptocurrency
- Gambling activities
- Post-secondary tuition (routed instead to the Bank's Student Lending program)
- Any purpose prohibited by applicable consumer lending law

5. Loan-to-Value Limits for Secured Products

Secured lending products are additionally governed by the maximum loan-to-value (LTV) ratios defined in the Collateral Policy (POL-CL-001). No secured loan may be originated above the maximum LTV for its collateral type without an approved exception.